

Notice volume (E) trends downward in this example. A downward volume trend happens 47% of the time in a bull market (meaning an upward trend is slightly more likely). An *upward* volume trend helps boost performance, and we'll see how much in the Statistics section.

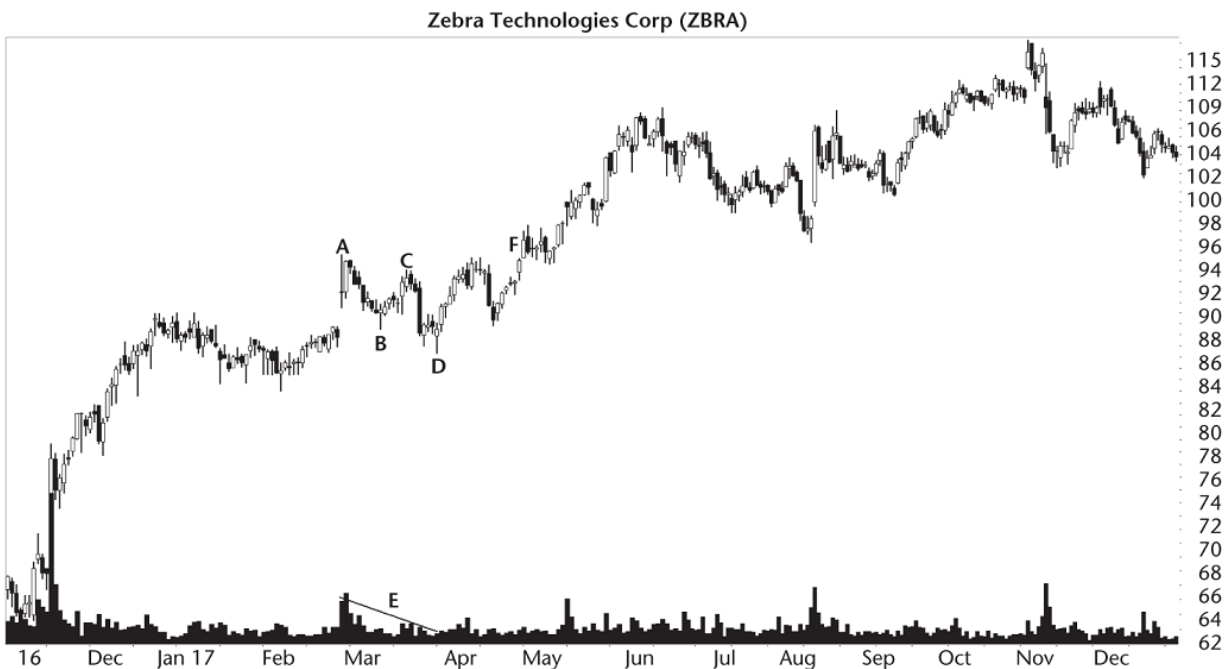


Figure 3.1 This chart shows how a bullish AB=CD pattern sees price turn at D.

Identification Guidelines

Table 3.1 shows the identification guidelines, and **Figure 3.2** shows an example of a bullish AB=CD pattern.

Appearance. Bullish AB=CD patterns are a member of what I call Fibonacci patterns whose turns are set by Fibonacci ratios. I don't suggest you try finding this pattern manually. Rather, use pattern recognition software that can hunt down these patterns like a cat hunts mice. I found so many in my quest to count them that I ran out of fingers and toes and had to limit the number a stock could report.